duolingo

HCGCC 2026 · REGIONAL CASE

Duolingo can bring back 15.4M learners in one campaign. Its bookings grew only 8%.



Duolingo: sell proof of learning, not practice, to turn engagement into durable value.

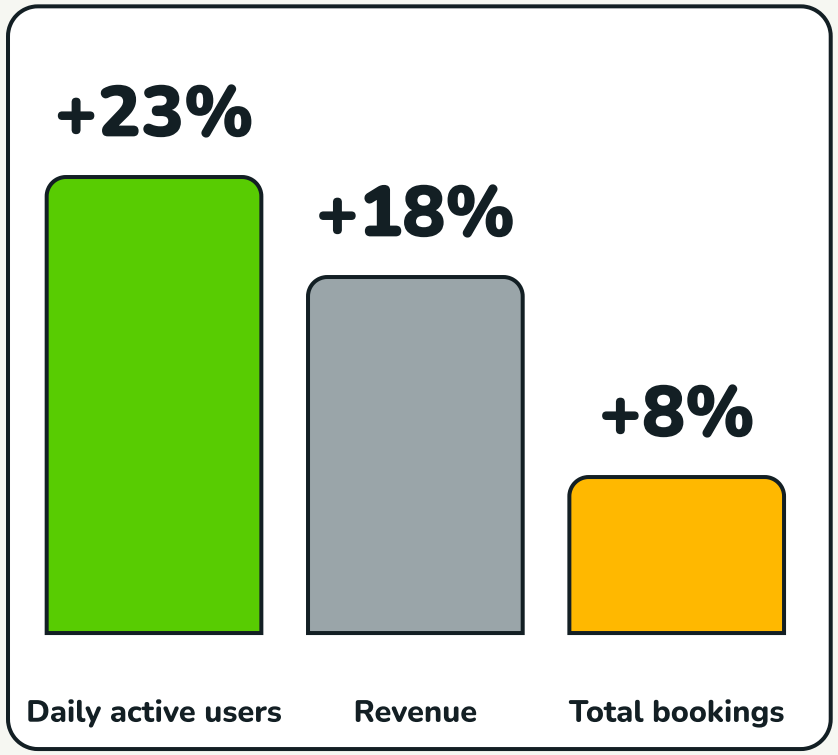
DEEP CUT

Jack Lozeau · Benji Ekiss Region: North America

Source: Duolingo Q2 2026 shareholder letter (Aug 5, 2026) via HCGCC 2026 Regional Case. Owl and wordmark © Duolingo, Inc.

Duolingo is winning attention, not bookings: daily users grew 23%, bookings only 8%.

YEAR-OVER-YEAR GROWTH, Q2 2026



SITUATION

58.7M daily active users (DAU) and 140.6M monthly active users (MAU) bring in $298.5M a quarter.

ISSUE

Only 9.0% pay, at ~$6.8 a month vs $12.99–13.99 list. EBITDA margin fell to 25.9%.

STRATEGY

Sell proof, not practice: fair-price tiers, web checkout and institutional licences.

IMPACT BY 2028

+$258M revenue, +$61M fees saved, EBITDA margin of 27% or more.

The constraint is not demand. It is how Duolingo converts and prices it.

Source: Duolingo Q2 2026 shareholder letter and Form 10-Q via HCGCC 2026 Regional Case. $6.8 = $258.0M subscription revenue ÷ 3 months ÷ 12.7M payers (team calculation). EBITDA = profit before interest, taxes and non-cash items. Strategy and impact are team estimates (slides 6–9).

Four linked causes stop engagement from becoming revenue.

Root problem: daily users +23% but bookings +8%

1

Growth-first choice

Chose 10–12% bookings growth over ~20% to reach 100M daily users by 2028.

Linked: “AI-first” memo backlash

2

Thin conversion, low price

9.0% of MAU pay. Growth is in India, Indonesia, Brazil, Mexico, where incomes cap prices.

Linked: purchasing-power parity (PPP) gap

3

Premium AI is going free

ChatGPT and Gemini give free voice practice. Video Call moved from Max to Super.

Linked: third-party model reliance; English Test revenue −8%

4

Tolls and costs leak

App stores take 15–30%. Gross margin is 72.6% and AI costs are rising.

Linked: child-privacy laws (COPPA, SCOPE)

Fix both sides: raise realized price where it is low, and sell what AI cannot copy.

Source: Duolingo Q4 2025 and Q2 2026 shareholder letters, Apr 2025 all-hands memo, 2025 annual filing, via HCGCC 2026 Regional Case. English Test: $45.6M (2024) to $42.0M (2025) = −7.9%. COPPA and SCOPE = US children’s online-privacy laws. Super and Max = Duolingo’s paid tiers.

Outside forces squeeze twice: free AI erodes premium features, child-privacy rules add cost.

P Political

Age-verification laws are spreading: Texas SCOPE Act and App Store Accountability Act.

E Economic

Growth is in lower-income markets, so realized revenue per payer is only ~$6.8.

S Social

Young audience: about 60% of daily users are 16–34. Anime and K-pop lift Japanese and Korean.

T Technological

Free AI voice practice erodes Max. Falling open-source costs let Video Call move to Super.

E Environmental

Low relevance for a digital product; track the energy use of AI compute.

L Legal

FTC amended the COPPA rule (Apr 2025). Parts of the SCOPE Act were enjoined. Compliance cost rises.

Two forces matter most: free AI (technological) and child-privacy law (political and legal).

Source: HCGCC 2026 Regional Case: Duolingo Q2 2026 call, Duolingo Language Report 2025, Class Central, Mayer Brown (Jan 2026), Texas Attorney General. COPPA = Children's Online Privacy Protection Act; SCOPE = Securing Children Online through Parental Empowerment Act. Environmental is a team judgement.

Habit, data and brand are the strengths; each opportunity turns them into paid proof.

STRENGTHS

Streak habit engine · 58.7M daily users · Duo brand: 1B+ social impressions a quarter · AI teaching tools (Max, Roleplay, Video Call)

WEAKNESSES

Only 9.0% pay · ~$6.8 per payer vs $12.99–13.99 list · English Test revenue –8% · EBITDA margin 25.9%, down from ~31%

OPPORTUNITIES

Schools and employers: $61.8B education segment, Duolingo ~1% → **Move 3** · Lower-priced tiers in four emerging markets → **Move 1** · Web-direct billing → **Move 2**

THREATS

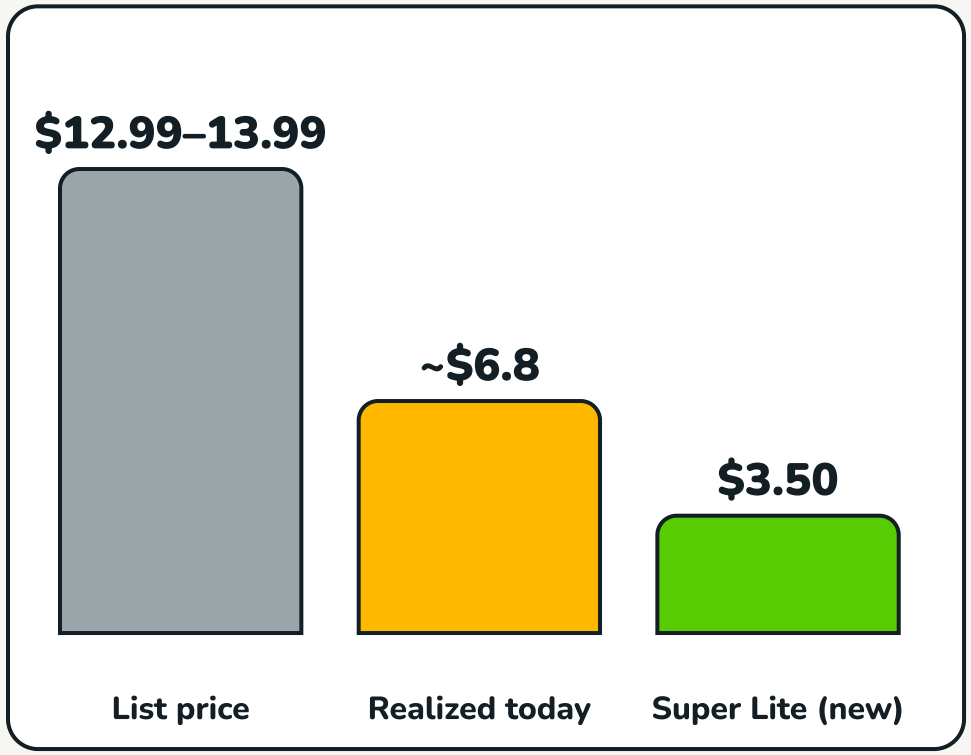
Free ChatGPT and Gemini voice practice · Babbel (paid-only) and Preply ($1.2B) · 15–30% app-store fees · Child-privacy laws · Shares 84% below peak

Match strengths to opportunities: turn habit and learner data into proof others pay for.

Source: HCGCC 2026 Regional Case: Duolingo Q2 2026 letter and call; Global Market Insights (GMI5995); Business of Apps (Babbel); Bloomberg, Jan 2026 (Preply); stock data per MacroTrends ($87.89 low vs ~$541 peak). Moves 1–3 on slides 6–7.

Fair prices and an owned checkout turn emerging-market users into profitable payers.

SUBSCRIPTION PRICE PER MONTH (US$)



WHERE FIRST

Wave 1: India, Indonesia. **Wave 2:** Brazil, Mexico. **Hold price:** Japan, Korea premium cohort.

MOVE 1

+2.5M payers × $3.50 × 12 = $105M, less $39M from 1.0M payers trading down = **$66M**.

MOVE 2

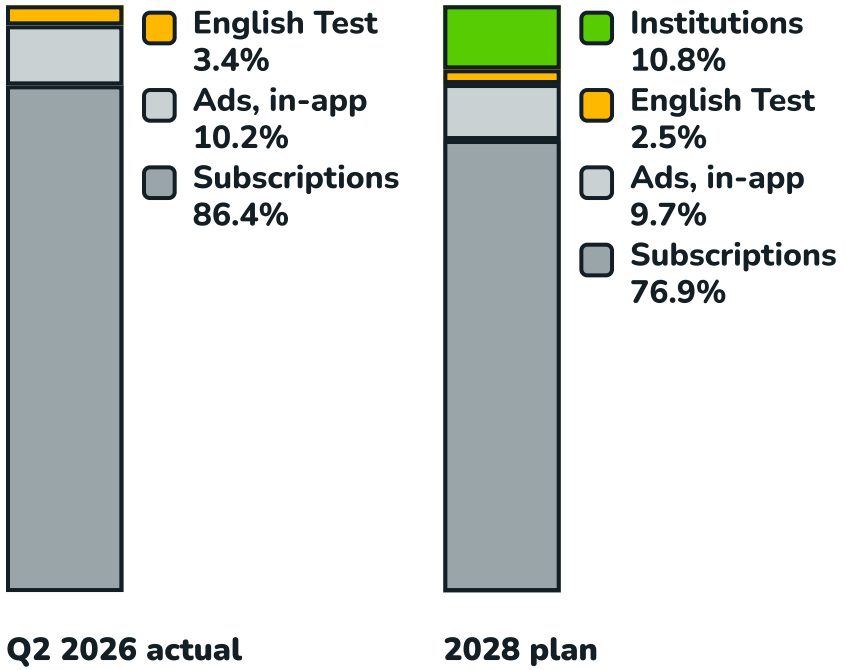
20% of subscriptions on web × 22.5% fee saved = **~$61M** (+3.5 margin points).

Same free app, more payers at a fair price, and a bigger share of each payment kept.

Source: Duolingo Q2 2026 letter; list price per Axis Intelligence, via HCGCC 2026 Regional Case. $3.50 tier, 2.5M new payers, 1.0M trading down (from ~$6.8), 20% web share and 22.5% (midpoint of 15–30% store fee) are team assumptions.

Institutions and employers can be the next 10% of revenue by buying proof, not practice.

REVENUE MIX (SHARE OF TOTAL)



LINE (2028 RUN-RATE)	VOLUME × PRICE	REVENUE
Schools & universities	6.0M seats × $12	**$72M**
Employers	2.0M seats × $60	**$120M**
English Test + Score	modest recovery	**~$45M**
Total	13.4% of revenue (3.4% today)	**$237M**

WHY THEY BUY

Warm door: English Test accepted by 3,100+ US universities. **Proof:** seat-level Score progress. **Proven market:** Babbel has ~1,000 corporate clients.

New: **the Duolingo Score becomes a product institutions buy.** Target: <0.5% of $61.8B.

Source: Duolingo Q2 2026 letter; GMI5995; Babbel per Business of Apps, via HCGCC 2026 Regional Case. Seats, prices are team assumptions. $61.8B = education segment (GMI, 2025). Subscriptions fall from 86% to 77% of revenue but still grow in dollars. Score = proficiency metric publishable to LinkedIn.

Eight risks, each with a concrete shield, keep Duolingo on track to 100M daily users.

	RISK	MITIGATION
!	**Free general AI commoditizes practice**	Sell verified proof: Score + English Test bundles
	Dependence on third-party AI models	Route across models; use open-source as costs fall
!	**App-store fees of 15–30%**	Web-direct checkout: 20% of subscriptions by 2028
!	**PPP gap in emerging markets**	Fair-price tier + family plans; cap trade-down
	Children's data: COPPA, SCOPE Act	Age checks by design; school-contract consent; legal audit
	English Test revenue erosion (–8%)	Fold into the Score; publish to LinkedIn; bundle
	Backlash to AI-first positioning	"AI plus teachers" message; publish efficacy results
	Key-person concentration	Named successors; documented decision rights

! = highest priority: largest revenue or margin exposure

Source: risk list from HCGCC 2026 Regional Case, Q2; mitigations and priorities are team recommendations. COPPA = Children's Online Privacy Protection Act; SCOPE = Securing Children Online through Parental Empowerment Act; PPP = purchasing-power parity.

A three-phase plan adds ~$258M revenue and ~$61M in saved fees by 2028 for ~$40M.

PHASE 1 · PILOT

Q1–Q2 2027

Super Lite and web checkout in India, Indonesia. 20 institution pilots.

Gate: trade-down ≤1.0M payers

PHASE 2 · SCALE

H2 2027

Add Brazil, Mexico, family plans. Build US institutional sales.

Gate: web ≥10% of subscriptions

PHASE 3 · EXPAND

2028

Score bundle for Japan, Korea. Vietnam, China via creators.

Gate: institutions + English Test ≥13%

SUCCESS METRIC	Q2 2026	2028 TARGET
Daily active users	58.7M	**100M (company goal)**
Paid subscribers	12.7M	**+2.5M from Move 1**
Adjusted EBITDA margin	25.9%	**≥27%**
Revenue per daily user per day (ARPDAU)	$0.056	**~$0.05**

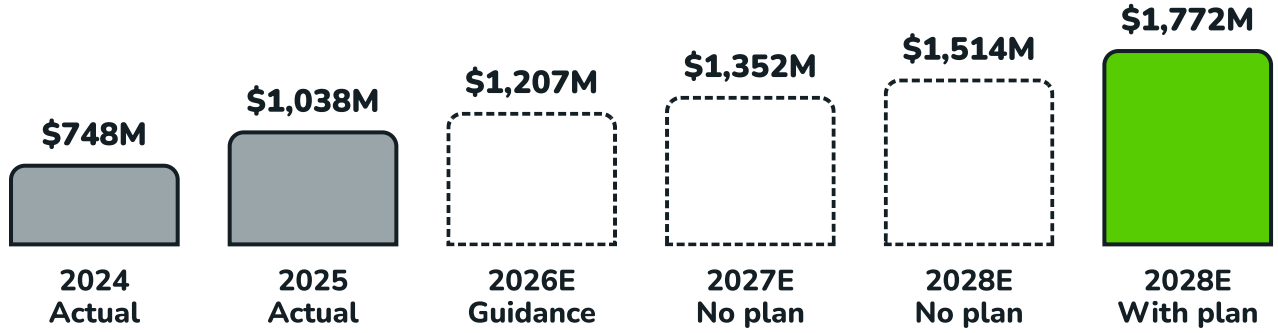
RESOURCES · ~$40M / 24 MONTHS

$18M sales · $10M pricing and checkout · $7M compliance and efficacy · $5M creators

Source: Duolingo Q2 2026 letter via HCGCC 2026 Regional Case. Targets and budget are team estimates. ARPDAU dips as DAU grows 70% in lower-price markets ($1,772M ÷ 365 ÷ 100M). EBITDA ≥27% nets +3.5 pts of fee savings against AI costs and plan spend. Retention, payback and NPS baselines: Appendix 4.

Appendix 1 · Revenue bridge: $1,514M baseline grows to ~$1,772M in 2028 with the plan.

STEP	CALCULATION	US$M
2026E revenue (guidance)	Q2 letter, ~16% growth	1,207
2028 baseline, no plan	+12% in 2027, +12% in 2028	1,514
+ Move 1 fair-price tiers (net)	$105M new – $39M trade-down	66
+ Schools and universities	6.0M seats × $12	72
+ Employers	2.0M seats × $60	120
2028 with plan	Adds $258M (+17%)	**1,772**
Move 2 fee savings (cost, not revenue)	20% × $1,363M × 22.5%	61



ASSUMPTIONS TO VALIDATE

Baseline growth tracks bookings guidance (10–12%).

$3.30 = $6.8 today less $3.50 new price. Seat prices sit below typical corporate and school rates.

Figures are 2028 run-rate: 2027 ramps from pilots.

2.0M employer seats ≈ 1.4% of 140.6M MAU; the downside halves it (Appendix 2).

Source: Duolingo Q2 2026 letter via HCGCC 2026 Regional Case; all volumes, prices and growth rates beyond 2026 guidance are team assumptions.

Appendix 2 · Even a downside case keeps the plan profitable.

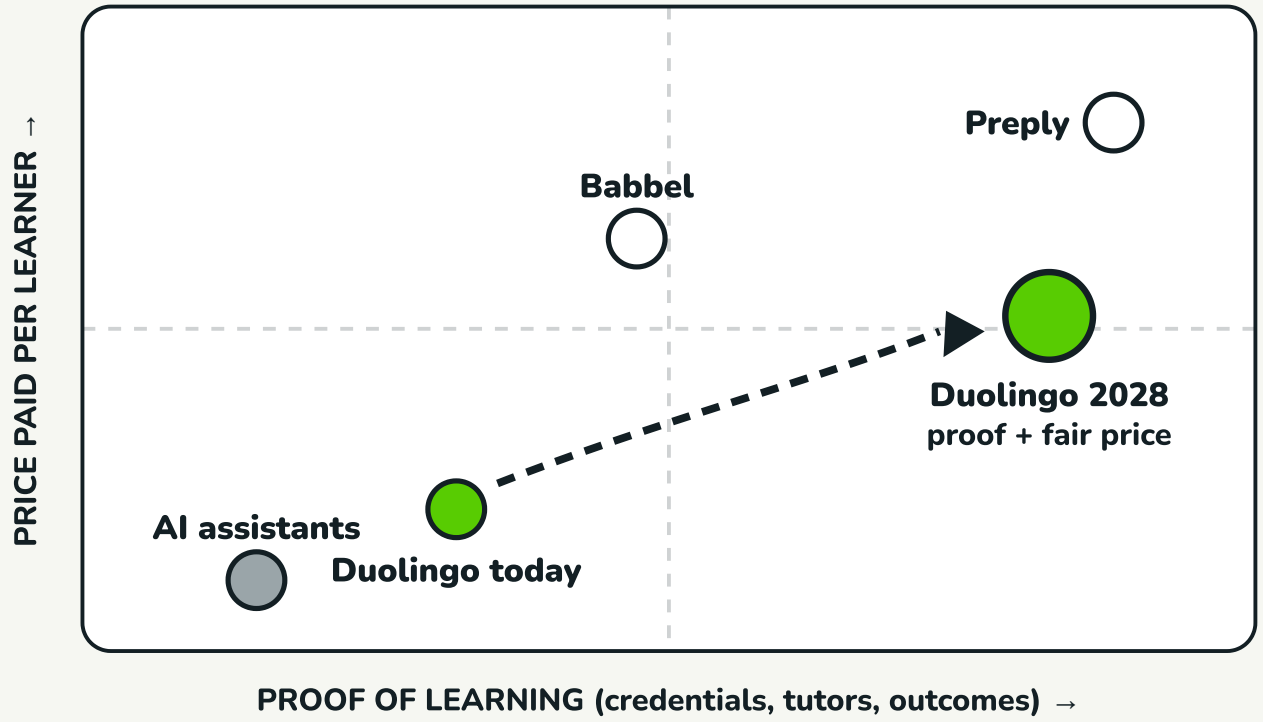
LEVER (2028 RUN-RATE)	BASE CASE	DOWNSIDE CASE
Fair-price tiers, net revenue	2.5M new, 1.0M down → $66M	1.5M new, 1.5M down → $4M
Schools and universities	6.0M seats → $72M	3.0M seats → $36M
Employers	2.0M seats → $120M	1.0M seats → $60M
Web-direct fee savings	20% share, 22.5% fee → $61M	10% share, 15% fee → ~$19M
Added revenue	**$258M**	**$100M**
Gross profit (72.6% margin) + fees saved	**~$248M**	**~$91M**

Against ~$40M of spend, the downside still returns ~2× in annual gross profit (2028 run-rate vs 24-month spend).

Source: team model; gross margin 72.6% from Duolingo Q2 2026 letter via HCGCC 2026 Regional Case. Assumes institutional margin equals consumer margin, to be tested in pilots.

Appendix 3 · Competitive position: AI made practice free, so the open space is proof at a fair price.

COMPETITIVE POSITION (TEAM VIEW, ANCHORED ON CASE DATA)



BABBEL · PAID-ONLY

€352M revenue (2024), +6.6%. ~1,000 corporate clients.

PREPLY · LIVE TUTORS

$1.2B valuation. Learners pay ~$18 an hour.

WHERE THE MONEY IS

Education: $61.8B of an $85.1B market. Duolingo holds ~1%.

Duolingo already holds a credential asset: English Test accepted by all 8 Ivies and 98 of the top 100 US schools.

Source: Global Market Insights (GMI, report GMI5995, 2026); Business of Apps; Bloomberg, Jan 2026; Duolingo Q2 2026 call; Class Central, via HCGCC 2026 Regional Case. Market scope varies by research house (see Appendix 5).

Appendix 4 · Every success metric has a formula, a baseline and an owner.

METRIC	DEFINITION	BASELINE	OWNER
DAU ÷ MAU	Daily over monthly active users	41.7% (Q2 2026)	Product
Paid conversion	Paid subscribers ÷ MAU	9.0% (12.7M ÷ 140.6M)	Growth
ARPDAU	Revenue ÷ days ÷ daily users	$0.056 a day	Finance
D30 retention	New users still active on day 30	Not disclosed: set Q1 2027	Analytics
CAC payback	Months for revenue to repay acquisition cost	Not disclosed: target ≤6 months	Marketing
Net Promoter Score (NPS)	Likelihood to recommend, −100 to 100	Set Q1 2027	Research
Learning outcome	% of learners gaining ≥1 CEFR level in 12 months (via the Score)	Set Q1 2027	Learning science

Source: Duolingo Q2 2026 letter via HCGCC 2026 Regional Case; owners are team proposals. CEFR = Common European Framework of Reference for Languages. Duolingo does not disclose D30 retention or acquisition cost.

Appendix 5 · Sources and image credits.

TYPE	SOURCE
Company data	HCGCC 2026 Regional Case (Crimson Education), citing Duolingo Q2 2026 letter and Form 10-Q (Aug 5, 2026), Q4/FY2025 letter, 2025 annual filing
Market	Global Market Insights GMI5995 (Jan 2026): $85.1B in 2025, used here. Other houses differ by scope: Meticulous ~$70B, Mordor ~$84B, online-only $20–86B. Also Class Central; Axis Intelligence
Competitors	Business of Apps (Babbel); Bloomberg, Jan 21, 2026 (Preply)
Regulation	Mayer Brown, “Little Users, Big Rules” (Jan 2026); Texas Attorney General SCOPE Act guidance
Data note	Case text says English Test revenue fell 8%; its appendix says 17%. We use –7.9% ($45.6M to $42.0M)
Images	Duolingo owl and wordmark © Duolingo, Inc., from the case brief, for analysis only. No other images used
Our numbers	Anything marked “team assumption” or “team estimate” is ours, not company guidance